

Decoding 117 Weeks of Retail Transactions

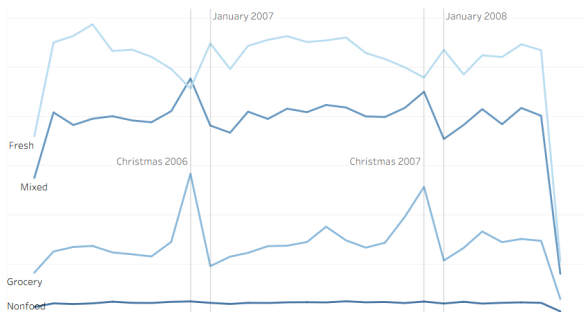
From Seasonal Spikes to New Customer Acquisition



Data Acquired From www.dunhumby.com

Seasonality is Sharp and Predictable

Grocery and Mixed-mission baskets spike sharply every year in the run-up to Christmas (2006 and 2007 both show the pattern). Fresh produce does the opposite it drops steadily through December, then rebounds hard every January.

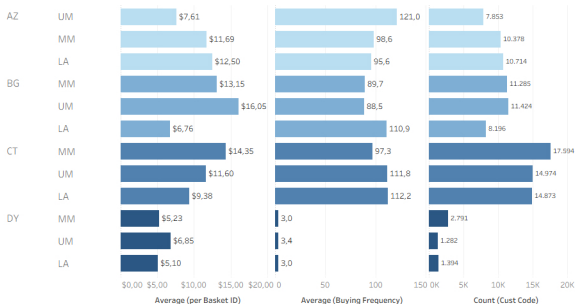


For company to begin building Grocery and Mixed stock roughly 6 weeks ahead of Christmas, not at the last minute.

Hold back on Fresh stock over ordering in periods before December, data shows demand dip starting way before December. Then ramp Fresh supply and "new year, fresh start" promotions for early January to meet the rebound.



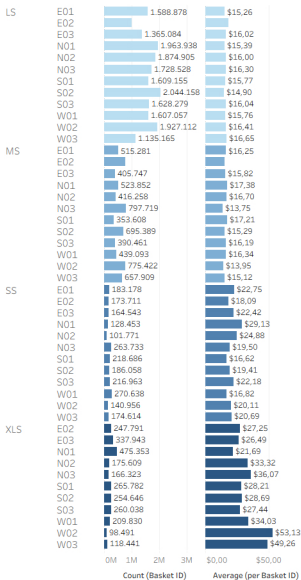
Three Segment, Three Different Stories



BG Spends Most, CT Buys Most Often, DY Barely Registers. Across price-sensitivity bands, segment BG consistently shows the highest average spend per basket. Segment CT combines strong spend with high buying frequency and a healthy customer count. By contrast, segment DY has both the lowest buying frequency and the smallest customer base.

Both BG and CT segment shows huge potential that the company can further explore, BG segment shows huge average per transaction value with it's Upper Market (UM) averaging \$16,05 spend in every transaction. Meanwhile CT segment have the biggest market size, with also high buying frequency and high average spend per transaction.

Different Store Format, Different Customer Behaviour



Large Store (LS) attract has the highest transaction count, while Extra Large Store (XLS) has the highest average spend per transaction. Customer likely goes to XLS Store for a Bulk Shopping Trip, possibly buying monthly and in bigger batch, while LS Store customer goes there for a quick grab and go buying.

1

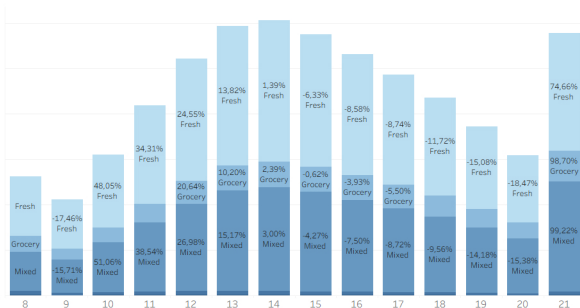
Optimize Large Store (LS) for speed and convenience, putting most often bought items upfront to ease grab and go customers

2

Position Extra Large Store (XLS) for Bulk Shopping Trip or Shopping Destination Trip, preparing product variability offering and promo bundling

A Sharp Buying Volume Spike at 9PM (21.00)

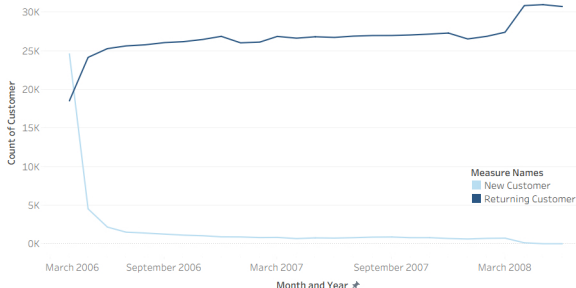
Grocery and Mixed category nearly doubled the volume sold compared to previous hour. From 14PM onward, sales in every category shows a continous drop before a sudden spike at 9PM.



Company need to make sure staffing and product availability during night time, especially Fresh product category as they are more likely to run out or not as fresh as in the earlier time

Strong at Retention, Incredibly Weak at Acquisition

Returning customers stay steady and continuing to increase across two years, however new customer acquisition saw a huge decline over the same period, it is worth noting that the company only able to acquire 2 new customers for the May 2008 period.



1

For Company to continue Retention Programme, but to adjust budgeting more towards New Customer Acquisition Programme

2

Target New Customer Acquisition Programme towards BG and CT customer segment lookalike rather than generic approach